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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

For Now, Italy Is the Worry du Jour

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Last Week's S&P 500 Index:
+0.3%

Key takeaways

- *Investors' concerns have drifted from one worry to another in recent months and the result has been volatile day-to day price action in the major stock indices.*
- *This week the concern is Italy as the heavily indebted nation is in the midst of a political crisis that is stoking global financial market fears.*

Investors, it seems, can find any number of things to worry about on a daily or weekly basis. The potential for an all out trade war, troubles with North Korea, an overly aggressive U.S. Federal Reserve, "peak earnings," and a tighter labor market are just a few examples of what has roiled the stock market from day-to-day and week-to-week since the 10% correction in the S&P 500 Index in early February. It is hard to anticipate what might be bothering equities next given the number of potential irritants investors seemingly have to choose from at any given time. And this doesn't even take into account any "tweets" that might come without warning day or night. What is an investor to do?

Number one is not panic, at least in this strategist's opinion. And yes, that is easy to say but sometimes hard to do. In a 24/7/365 news world where bad news seems to garner much of the attention, it can be hard to look at what is going on around the globe in a clear and rational manner. Over the past few trading days, uncertainties surrounding the financial and political status of Italy have spooked investors. Let's break down the concerns into its simplest components and try to understand why this would affect U.S. financial markets.

One of the major concerns is that the eurozone will, at some point, break up. Over the last six or seven years, there have been worries that countries like Greece and Spain would potentially leave the currency union. Populist groups inside these countries and others have been anti-eurozone doctrines that have attracted much attention among the electorate. Membership in the currency union requires adherence to rules and regulations concerning everything from deficit spending to immigration. And in reality, member countries cede control of monetary policy to the European Central Bank (ECB).

A loss of business and consumer confidence in the eurozone would likely negatively affect business and consumer spending. With approximately 35% of revenues for S&P 500 companies coming from overseas, and the eurozone represents a big chunk of that, investors are naturally nervous given the big earnings gains expected this year for domestic companies. The stock market has become concerned that growth outside the U.S. is beginning to slow over the past month or so, and the latest issues with Italy only feed those fears.

Also consider that Italy is a very indebted country with high unemployment, low worker productivity, and slow economic growth. When Italian politicians start making proposals to leave the currency union, bring back the lira (Italy's currency pre-euro), and meaningfully increase deficit spending, stock and bond markets get nervous. Given the perceived risks, this strategist still has a hard time coming to grips with the fact that a 10-year government bond in Italy yields only about 40 basis points (4/10 of 1%) more than a 10-year U.S. Treasury note. That doesn't seem like nearly enough of a risk preminum to this strategist. It really doesn't make sense when you consider that in early May the yield was less than 1.5%. For now, Italy is the worry du jour. Next week it could very well be something else. U.S. fundamentals look good to us. Stay invested, and stay diversified.

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